

Hillpath Capital

Fund IV - Combined DDQ and Private Placement Summary

Prepared for institutional LP diligence | As of June 30, 2026

This document is entirely synthetic. Names, performance, service providers, terms, and events are invented solely to test Vyntic extraction workflows.

1. Firm and ownership

Hillpath Capital was founded in 2011 and focuses on control investments in North American lower-middle-market software and technology-enabled services companies. The firm reports \$1.4 billion of regulatory assets under management across three prior funds and related co-investment vehicles.

Owner	Role	Economic ownership	Voting ownership
Evelyn Hart	Co-founder / Managing Partner	40%	45%
Marcus Lee	Co-founder / Managing Partner	30%	35%
Three next-generation partners	Investment Partners	30%	20%

The DDQ states that the 2025 succession framework transfers investment committee leadership to the next-generation partners over five years. No signed ownership-transfer agreement was provided. The PPM key-person disclosure continues to identify Hart and Lee jointly as indispensable and does not name a successor.

2. Team and succession

The firm has 14 investment professionals, including five partners, four principals, and five associates. Investment-partner turnover has been zero since 2018. Two operating partners left during 2024; the DDQ characterizes both departures as planned, while the staffing appendix lists their replacements as open searches nine months later.

The key-person event is triggered if both founders cease devoting substantially all business time to Fund IV. A single-founder departure does not automatically suspend investment activity. The firm maintains \$15 million of key-person life insurance per founder.

3. Strategy and Fund IV sizing

Attribute	Fund IV disclosure
Target size / hard cap	\$650 million / \$750 million
Prior fund	Fund III: \$400 million committed capital
Target companies	\$8-\$25 million EBITDA; recurring-revenue software and services
Portfolio construction	10-12 platforms; \$35-\$65 million initial equity per platform
Geography	United States and Canada; up to 15% Western Europe
Co-investment	Targeting \$150-\$250 million aggregate alongside Fund IV

Fund IV's \$650 million target is 62.5% larger than Fund III. Management attributes the increase to larger follow-on reserves and a dedicated software value-creation team. The target-company EBITDA range, however, rises only modestly from Fund III's \$6-\$20 million range.

4. Economics and terms

Term	PPM disclosure
Management fee	2.00% of commitments during the five-year investment period; 1.50% of invested cost thereafter
Carried interest	20%
Preferred return	8% compounded annually
Waterfall	Described as European / whole-of-fund
GP commitment	2.0% of commitments; 75% cash and up to 25% funded through management-fee waiver
Fee offsets	80% of transaction, monitoring, break-up, and director fees
Fund term	10 years plus two one-year extensions; second extension requires LPAC approval
Recycling	Recallable distributions up to 20% of commitments during the investment period
Organizational expenses	\$1.25 million cap, excluding placement-agent costs

5. Valuation, compliance, and operations

Area	DDQ response
Valuation	Quarterly valuation committee chaired by CFO; two investment partners vote. Level 3 marks use public comps and DCF. No independent valuation agent is routinely engaged.
Auditor	Grant Thornton LLP
Fund administrator	SS&C GlobeOp
Fund counsel	Ropes & Gray LLP
Custody	Portfolio securities generally held through acquisition SPVs; no separate fund custodian is named.
Compliance	CCO is also General Counsel and reports administratively to the CFO. Annual review completed March 2026.
Cybersecurity	MFA and endpoint detection deployed. Last external penetration test was September 2023; the 2025 test was postponed during a systems migration.
BCP	Tabletop exercise completed November 2025. Recovery-time objective is 24 hours for investor reporting.

The firm disclosed one 2024 SEC deficiency letter concerning late employee-trade preclearance. No enforcement action resulted. Expense-allocation testing found two broken-deal invoices totaling \$184,000 initially charged only to Fund III; the amounts were corrected in February 2025.

6. ESG, LP base, conflicts, and references

Hillpath applies an exclusion list and records annual carbon estimates for controlled portfolio companies, but it does not align reporting to SFDR or TCFD. Fund III's LP base is 38% public pensions, 24% endowments and foundations, 18% insurers, 12% family offices, and 8% fund-of-funds. Three reference contacts were provided; none is from an LP that declined a Fund III re-up.

Potential conflicts include allocation between Fund IV and a software continuation vehicle, operating-partner consulting fees charged to portfolio companies, and cross-fund follow-on investments. The conflicts policy gives the allocation committee discretion and requires LPAC review only for transactions above \$25 million.